

Table 69.5 Size Statistics

Description	Bull Market	Bear Market
Tall pattern performance	50%	39%
Short pattern performance	29%	25%
Median height as a percentage of breakout price	34.0%	41.3%
Narrow pattern performance	36%	28%
Wide pattern performance	43%	37%
Median width	28 days	26 days
Short and narrow performance	29%	22%
Short and wide performance	29%	28%
Tall and wide performance	55%	46%
Tall and narrow performance	45%	33%

Height and width combinations. Because we know that tall patterns outperform and wide patterns outperform, we'd expect the combination of tall and wide to show the best performance. Indeed, it does. Short and narrow patterns (the opposite of tall and wide) have the worst performance. That's gratifying when the numbers work and make sense (or cents!).

Table 69.6 shows volume-related statistics.

Volume trend. I used linear regression on volume to find the slope of a “best fit” line through the volume bars. Just over half the time, volume sloped upward from start of the pattern to the end (breakout).

Rising/Falling volume. When volume increased from the start of the pattern to the end, we find better performance. Maybe that's a sign of enthusiasm. It suggests volume is higher after price bottoms than before (not always, of course. You could have one day with huge volume skewing the numbers). If lots of people are trading the stock as price rises, it often translates into better performance.